Subject: RE: Snowflake - Newline Authority Request 10/31/2025
Date: Wednesday, September 24, 2025 at 3:43:31 PM Central Daylight Time
From: Haran, Richard
To: Dos Santos, Tiago
Attachments: image001.png, image002.png, image003.png, image004.png, image005.png, image006.png, image007.png, image008.png, image009.png

Perfect

Richard W. Haran Jr.
Vice President
Liberty Mutual Insurance | Ironshore
28 Liberty Street, 5th Floor
New York, NY 10005
Direct: 347-421-0365
richard.haran@Libertymutual.com

From: Dos Santos, Tiago <Tiago.DosSantos@LibertyMutual.com>
Sent: Wednesday, September 24, 2025 4:43 PM
To: Haran, Richard <Richard.Haran@LibertyMutual.com>
Subject: RE: Snowflake - Newline Authority Request 10/31/2025

Hey Rick –

See highlighted section of the below work-up. Derivatives have been filed and are currently stayed pending.

Thanks,
Tiago

Tiago Dos Santos
D&O Public Underwriter
Financial Lines

515 S. Flower St., Suite 950
Los Angeles, CA 90071
Liberty Mutual Insurance
Phone: (646) 826-6734
Cell: (201) 407-3532

From: Haran, Richard <Richard.Haran@LibertyMutual.com>
Sent: Wednesday, September 24, 2025 1:32 PM
To: Dos Santos, Tiago <Tiago.DosSantos@LibertyMutual.com>
Subject: FW: Snowflake - Newline Authority Request 10/31/2025

Richard W. Haran Jr.
Vice President
Liberty Mutual Insurance | Ironshore
28 Liberty Street, 5th Floor
New York, NY 10005
Direct: 347-421-0365
richard.haran@Libertymutual.com

From: Larson, Paul <Paul.Larson@LibertyMutual.com>
Sent: Wednesday, September 24, 2025 4:31 PM
To: Haran, Richard <Richard.Haran@LibertyMutual.com>
Subject: RE: Snowflake - Newline Authority Request 10/31/2025

I'm supportive here. I would think it is the Rivian claim that is putting RSUI in the doghouse.

From: Haran, Richard <Richard.Haran@LibertyMutual.com>
Sent: Wednesday, September 24, 2025 3:28 PM
To: Larson, Paul <Paul.Larson@LibertyMutual.com>
Subject: FW: Snowflake - Newline Authority Request 10/31/2025

Solid Side A play – outside authority due to STM.

Proposed layer: expiring Markel layer – 10M xs 95M for $180,000

Tiago is asking if a derivative claim has been filed, related to the SCA. Would quote subject to obtaining this information.

As an aside, Tiago was told by Aon LA that RSUI is on the "no fly" list and they are looking to replace them on towers. He didn't have any details, and I wonder if

the Rivian claim is part of the reason.

Company Description
Snowflake Inc. is a cloud-based data platform provider, based in Bozeman, Montana, USA. The company's platform, known as the AI Data Cloud, enables organizations to consolidate data into a single source of truth, facilitating data-driven decision-making, building data applications, and sharing data across various sectors. These sectors include financial services, advertising, media and entertainment, retail and consumer goods, healthcare and life sciences, manufacturing, technology, telecommunications, travel and hospitality, government, and defense. Snowflake's platform supports a multitude of business objectives such as analytics, data engineering, AI, and applications and collaboration.
Founded in 2012 and previously known as Snowflake Computing, Inc., the company changed its name to Snowflake Inc. in 2019. Snowflake offers its services through a consumption-based model, charging customers only for the resources they utilize. The company's architecture is built on three major public clouds across 47 regional deployments globally, allowing for seamless and governed data access without the need for copying or moving data. This enables customers to blend existing data with new data for broader context, augment data science efforts, and create new monetization streams. Snowflake emphasizes ease of use, with a platform that requires minimal maintenance, allowing customers to focus on deriving value from their data rather than managing infrastructure.

Competitors and Unique Value
Snowflake Inc. faces competition from several major players in the cloud data platform market. Key competitors include:

- Amazon Web Services (AWS)
- Microsoft Azure (Azure)
- Google Cloud Platform (GCP)

These competitors offer similar services in cloud computing, data storage, and AI capabilities, presenting a challenging landscape for Snowflake.
Snowflake's unique value lies in its AI Data Cloud platform, which integrates data storage, compute, and services layers to provide a seamless experience for users. This architecture allows for the consolidation of diverse data types, enabling scalable and flexible data management. Snowflake's focus on delivering a cohesive platform with fast time to value and simplicity is a differentiator, helping enterprises drive meaningful insights and operational efficiency. Additionally, Snowflake's partnerships with major cloud providers and a strong partner network enhance its market reach and customer solutions.

Sector Metrics Comparative Analysis:

- Valuation: SNOW's valuation is notably high. Its Price to Book ratio is 30, compared to a sector median of 5, reflecting a very expensive stock. The Price to Earnings (P/E) ratio of 211 is significantly higher than the sector median of 25, suggesting overvaluation compared to peers.
- Growth: SNOW shows impressive growth metrics, with forward Revenue Growth at 27%, which is substantially above the sector's 8%. Its forward Earnings Per Share (EPS) growth is projected at 19%, indicating strong expansion potential.
- Profitability: SNOW's profitability is mixed. While it has a solid Gross Profit Margin of 67% compared to the sector's 50%, its Net Income Margin is negative at -34%, indicating challenges in converting sales to profit.
- Momentum: SNOW's momentum is strong, with a 1-year price performance of 102%, well above the sector median of 12%. This indicates robust investor confidence and a positive market sentiment.

Richard W. Haran Jr.
Vice President
Liberty Mutual Insurance | Ironshore
28 Liberty Street, 5th Floor
New York, NY 10005
Direct: 347-421-0365
richard.haran@Libertymutual.com

From: Dos Santos, Tiago <Tiago.DosSantos@LibertyMutual.com>
Sent: Wednesday, September 24, 2025 12:42 PM
To: Haran, Richard <Richard.Haran@LibertyMutual.com>
Subject: Snowflake - Newline Authority Request 10/31/2025

Hey Rick -

As discussed yesterday, opportunity here on the $10m x $95m Side A for Snowflake. This is coming from Aon LA. Working with Julia Short on this Risk. She is looking to replace Markel at this layer. Broker has advised that we are getting first look as Paul Larson was a huge help at C.N.A. when they went public and we recently provided a huge help on a Claim. I ran the Cyber loss runs on this one but was unable to get any detail as to what happened for the claim. She has advised that if we are able to support the layer is ours.

IPO date was September 16, 2020.

Snowflake's second-quarter year-over-year revenue growth of 31.5% accelerated 530 basis points sequentially, highlighting strong client interest in data infrastructure modernization. Non-GAAP operating margin also expanded 240 basis points sequentially to 11.2%, thanks to efficiency gains but Net income continues negative. Analysts expect Snowflake to become profitable on a non-GAAP basis in fiscal year 2026, but significant GAAP net income is not predicted until fiscal year 2031.

I recommend we support. Side A Layer for a RPM of $18k, excess of $95m. The broker stating they are planning on building more limit on the Side A but we have dibs on this specific layer. STM 33%. The company had a SCA from 2024. Seems like the right time to hop on.

Expiring

Layer	Carrier(s)	Part Of Limit	Attachment (or SIR)	Premium	RPM (rate per mil)	Rate on Line	Rate of Underlying	Rate of Primary
1	AXA XL	$ 15,000,000	$ 15,000,000	$ 1,574,598	$ 104,973	10.5%		
2	Berkshire	$ 15,000,000	$ 15,000,000	$ 1,280,000	$ 85,333	8.5%	81.29%	81.29%
3	Beazley	$ 10,000,000	$ 30,000,000	$ 682,000	$ 68,200	6.8%	79.92%	64.97%
4	C.N.A.	$ 10,000,000	$ 40,000,000	$ 546,000	$ 54,600	5.5%	80.06%	52.01%
5	Zurich	$ 10,000,000	$ 50,000,000	$ 453,180	$ 45,318	4.5%	83.00%	43.17%
6	Starr	$ 10,000,000	$ 60,000,000	$ 385,500	$ 38,550	3.9%	85.07%	36.72%
7	AIG	$ 5,000,000	$ 70,000,000	$ 173,475	$ 34,695	3.5%	90.00%	33.05%
8	CHUBB BDA	$ 10,000,000	$ 75,000,000	$ 300,000	$ 30,000	3.0%	86.47%	28.58%
9	AWAC BDA	$ 10,000,000	$ 85,000,000	$ 225,000	$ 22,500	2.3%	75.00%	21.43%
10	Liberty	$ 10,000,000	$ 95,000,000	$ 180,000	$ 18,000	1.8%	80.00%	17.15%
11								

Rating Considerations		
Commision	15.0%	
Rating Currency	USD	<< If blank, assumes USD
Current Exchange Rate to 1 USD (CIQ)	1.0000	
3-Month Avg Exchange Rate to 1 USD (CIQ)	1.0000	
Override Exchange Rate		<< If blank, assumes Current CIQ Exchange Rate
Deductible/Retention (USD)	-	

		Layer Information						US SCA Frequency				US SCA Severity (M)			US SCA Loss Cost
Layer	Deductible/ Retention	Attachment in excess of deductible (USD)	Limit (USD)	Signed Line	Policy Type	Quoted Premium (USD)	Quoted Premium Type	Expected Frequency	Settlement Rate	Chance to Reach Layer	Excess Exp Freq	Ground-up Severity	Defense Costs	Exp Loss in Layer	Freq x Exp Loss in Layer
USD 10m xs 95m		95,000,000	10,000,000	100%	Side A DIC	180,000	Quoted	11.9%	55.0%	41.2%	2.69%	157.7	23.7	9.7	259,502
Custom layer															
Custom layer															
Custom layer															
Custom layer															

Modeled Premium includes loadings for Merger Objections, Loss Experience Factors, and Side A Only Discount

Account Name Search Results for **SNOWFLAKE INC. (RCG-0065318588)** as of **8/31/2025**

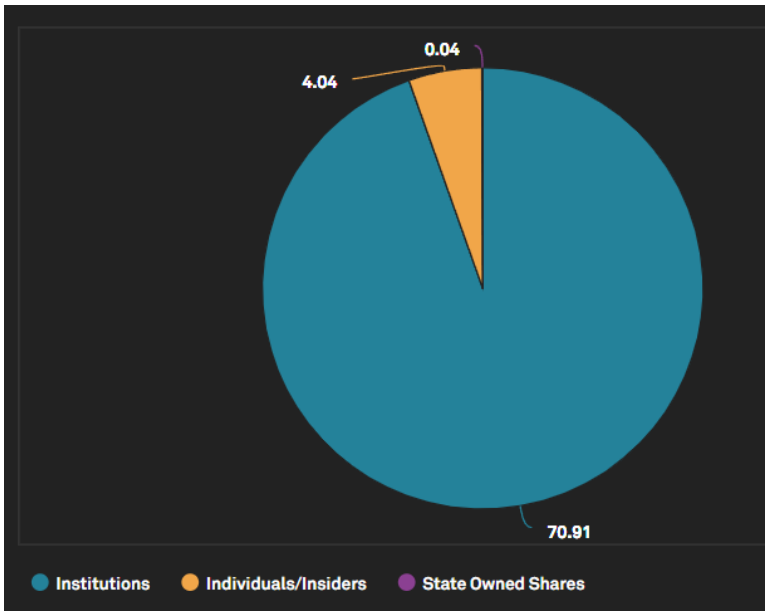
Account Group	Location, City, State	Account	Distribution Segment	Distribution Department	Product	Month, Day, Year of Exp Date	Policy Number	Underwriter
Grand Total								
SNOWFLAKE INC. (RCG-0065318588)	AON RISK CONSULTANTS INC, SAN FRANCISCO, CA	SNOWFLAKE INC. (0068218630) BOZEMAN, MT	Major Accounts	Excess Casualty	GL > GL Umbrella (UMB LEAD)	October 31, 2025	ECO0068218630	Null
<Business Services; Prepacka..		SNOWFLAKE INC. (SNOW0285) BOZEMAN, MT	Specialty	Cyber	Professional Liability > E&O - Tech Insure (IS CYBER)	October 31, 2025	EO5BACWXG7002	SAXENA, ANKIT

About the company:

- Snowflake Inc. provides a cloud-based data platform for various organizations in the United States and internationally. The company's platform includes artificial intelligence (AI) Data Cloud, which enables customers to consolidate data into a single source of truth to drive meaningful business insights, build data applications, and share data and data products, as well as applies AI for solving business problems. It serves financial services, advertising, media and entertainment, retail and consumer goods, healthcare and life sciences, manufacturing, technology, telecom, travel and hospitality, and government and defense industries, as well as the public sector. The company was formerly known as Snowflake Computing, Inc. and changed its name to Snowflake Inc. in April 2019. Snowflake Inc. was incorporated in 2012 and is based in Bozeman, Montana.

Stock Price as of 9/22/2025:

- Stock Price: $228.91
- Market Cap: $78.09B
- Shares Outstanding: 338.8M
- Public Float: 325.86M
  - 3.96% of float shorted
- BETA: 1.75
- Dividend: N/A
- Stock Performance: YTD stock is up 48.66%. YoY stock is down 102.67%.
- Stock Fluctuation:
- Stock Ownership:

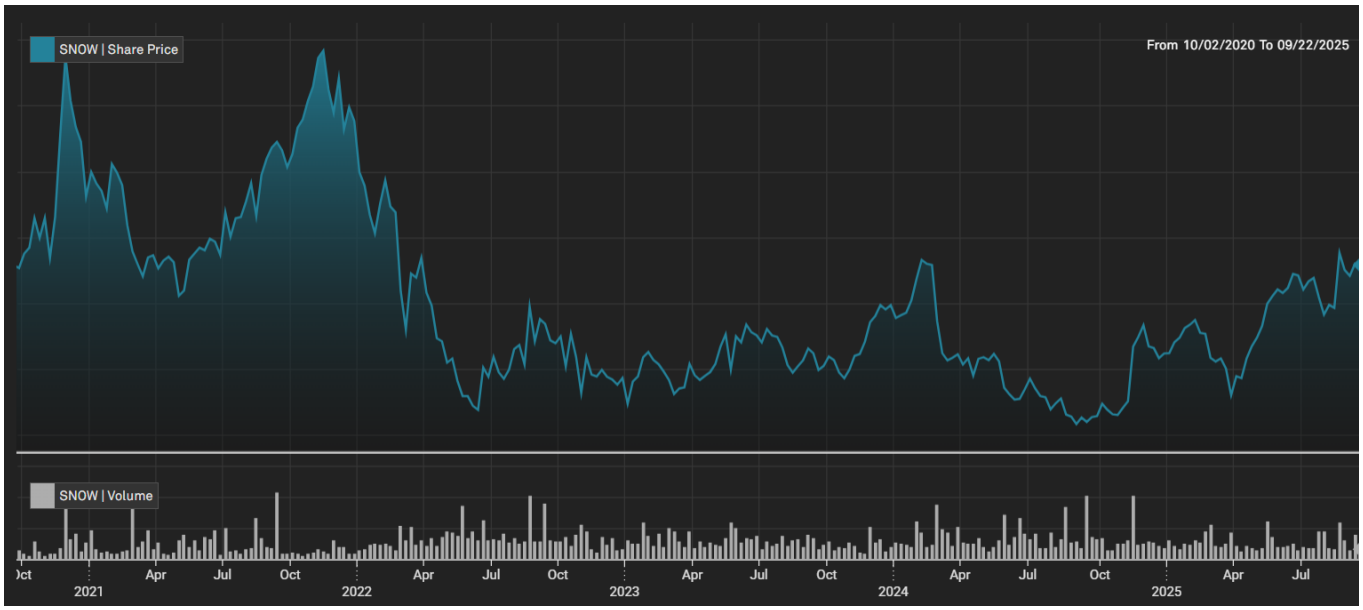


Holder	Common Stock Equivalent Held	Percent of Common Shares Outstanding (%)	Market Value ($M)	Position Date
Vanguard Group Inc.	27,789,761	8.20	6,378.9	06/30/2025
BlackRock Inc.	21,303,910	6.29	4,890.1	06/30/2025
Jennison Associates LLC	8,000,667	2.36	1,836.5	06/30/2025
JP Morgan Asset Management	7,682,866	2.27	1,763.5	06/30/2025
FMR LLC	7,402,485	2.19	1,699.2	06/30/2025

1 Year Stock Chart

2 Year Stock Chart

5 Year Stock Chart



Financials:

	YR Ending (Prior Year)	YR Ending (Most Recent)	% Change	Most Recent Qtr
	1/31/2024	1/31/2025		7/31/2025
Balance Sheet				
Cash/ST Investments (includes marketable securities)	$3,846	$4,638	21%	$3,587
Current Assets	$5,039	$5,869	16%	$4,596
Total Assets	$8,223	$9,034	10%	$8,197
Current Liabilities	$2,731	$3,301	21%	$3,096
Long Term Debt	$0	$2,272		$2,276
Working Capital	$2,308	$2,568	11%	$1,500
Income Statement				
Revenues	$2,806	$3,626	29%	$1,145
Operating Income	-$1,088	-$1,437	32%	-$340
Net Income	-$836	-$1,286	54%	-$298
Gross Margins (%)	$68	$67	-2%	$68
Cash Flow Statement				
Operating Cash Flow	$848	$960	13%	$75

- Snowflake Inc. reported strong financial performance for the second quarter of fiscal 2026. Product revenue reached $1.09 billion, representing a robust 32% year-over-year increase and marking an acceleration from the previous quarter's growth rate. This impressive result was driven by the strength of the company's core analytics business, as well as increasing contributions from newer product categories such as AI, data engineering, applications, and collaboration. The company attributed this acceleration to several factors: the successful launch of approximately 250 new product capabilities in the first half of the year, rapid innovation across its platform, and continued strong execution in customer acquisition and expansion activities. Notably, net new customer additions were up 21% year-over-year, and 50 customers crossed the $1 million mark in trailing 12-month revenue, bringing the total number of $1 million-plus customers to 654—a company record.
- Operationally, Snowflake demonstrated improved efficiency, with its non-GAAP operating margin increasing to 11% and non-GAAP product gross margin at 76.4% for the quarter. The company also reported a non-GAAP adjusted free cash flow margin of 6%. These margin improvements were supported by revenue outperformance, disciplined sales and marketing hiring (529 new heads added in Q2, including 364 in sales and marketing), and rigorous operational management. Snowflake ended the quarter with $4.6 billion in cash, cash equivalents, and investments, providing a solid liquidity position.
- The company's remaining performance obligations totaled $6.9 billion, up 33% year-over-year, signaling strong future revenue visibility. The net revenue retention rate, a key metric for recurring business strength, stood at a healthy 125%. Snowflake's management credited the uptick in consumption and retention to large customers migrating new workloads, especially from on-premises and first-generation cloud infrastructure, as well as growing adoption of AI-driven use cases—close to a quarter of all deployed use cases involved AI in Q2. The fastest-growing cloud platform for Snowflake was Azure, which grew 40% year-over-year, reflecting stronger alignment with Microsoft and a good uptick in EMEA business.
- Looking ahead, Snowflake raised its guidance for both Q3 and full fiscal year 2026, expecting Q3 product revenue between $1.125 billion and $1.13 billion (25–26% year-over-year growth), and full-year product revenue of $4.395 billion (27% year-over-year growth). The company also expects non-GAAP product gross margin of 75%, non-GAAP operating margin of 9%, and non-GAAP adjusted free cash flow margin of 25% for the year. This increased outlook reflects management's confidence in continued momentum driven by product innovation, strong customer demand, and expanding enterprise AI use cases.
- Snowflake Inc.'s net income is negative primarily because its total operating expenses significantly exceed its gross profit, resulting in an operating loss, which is further impacted by other expenses and taxes. For the three months ended July 31, 2025, the company reported a net loss of $297.9 million, compared to a net loss of $317.8 million for the same period in 2024. For the six months ended July 31, 2025, the net loss was $727.9 million, compared to $635.6 million in the prior year period 2
  - Main Reasons for Negative Net Income:
    - High Operating Expenses: The company's operating expenses, including sales and marketing, research and development, and general and administrative costs, totaled $1.11 billion for the quarter ended July 31, 2025, which is substantially higher than its gross profit of $773.2 million. This resulted in an operating loss of $340.3 million for the period
    - Stock-Based Compensation: Stock-based compensation is a significant component of operating expenses, totaling $404.2 million for the three months ended July 31, 2025. This represents 35% of revenue for the period, which contributes substantially to the net loss
    - Other Contributing Factors: Additional costs include asset impairment charges related to office facility exits ($108.6 million for the six months ended July 31, 2025), which were recorded as general and administrative expenses 2 The company also incurred interest expense and other expenses, such as impairments and unrealized losses related to strategic investments
  - Year-Over-Year Change:
    - The net loss for the three months ended July 31, 2025, improved slightly compared to the prior year (a decrease in net loss of about $19.9 million), but the net loss for the six months increased by $92.3 million year over year
    - The increase in net loss for the six-month period was mainly due to:
    - Higher Operating Expenses: Operating expenses increased from $1.84 billion to $2.25 billion year over year, driven by higher personnel-related costs (including stock-based compensation), increased headcount, and asset impairment charges.
    - Asset Impairment Charges: Significant asset impairment charges of $108.6 million were recognized in the first half of fiscal 2026, primarily related to the cease-use of the San Mateo office facility, which did not occur in the prior year.
    - Research and Development and Sales & Marketing: Both categories saw increased spending due to business growth and investment in new product capabilities, including AI and machine learning technology.

    - Slightly Higher Other Expenses: There were also increases in other expense items, including impairments and changes in unrealized gains/losses on strategic investments.
  - In summary, Snowflake's net losses are primarily driven by high operating expenses (including stock-based compensation and asset impairments) that outpace its gross profit, and the year-over-year increase in net loss for the six months ended July 31, 2025, is mainly attributable to higher operating costs and one-time impairment charges
-

Management:

- Sridhar Ramaswamy - CEO & Director - Sridhar Ramaswamy is Advisor of Kumo.ai, Inc. Mr. Sridhar Ramaswamy, Ph.D., serves as Chief Executive Officer and Director at Snowflake Inc. from February 27, 2024 and was its Senior Vice President of AI since 2023 until February 27, 2024. He Founded Neeva Inc. and served as its Chief Executive Officer and Chief Financial Officer. He serves as Founder & Board Member of NXYZ Inc. He serves as an Advisor at Inovia Capital since 2018. Mr. Ramaswamy is a Venture Partner at Greylock Partners since October 2018. Previously, Mr. Ramaswamy was a General Partner at Greylock Partners since October 2018 till 2018. He focuses on working with and investing in companies that leverage data at scale, AI/machine learning and analytics to deliver the next generation of insights and capabilities for consumers or enterprises. He possesses an extraordinary set of professional experiences. He was a Senior Vice President Advertising and Commerce at Google, Inc. since March 2013 till September 2018.
- Benoit Dageville - Co-founder, President of Product Division & Director - Benoit Dageville, Ph.D., serves as President of the Product division of Snowflake Inc. Dr. Dageville is Co-Founder of Snowflake Inc. and served as its Chief Technology Officer from August 2012 to May 2019. He is a leading expert in parallel execution and self-tuning database systems. He spent over 15 years at Oracle and was lead architect for parallel execution in Oracle RAC. Dr. Dageville served in various engineering roles at Oracle Corporation, a software and technology company, including as Architect in the SQL Manageability Group from January 2002 to July 2012.
- Thierry Cruanes - Co-founder - Thierry Cruanes is a Co-Founder of Snowflake Inc. and served as its Chief Technical Officer. He was Architect of Snowflake Inc. Mr. Cruanes is a leading expert in query optimization and parallel execution. He was Director at Snowflake Inc. till June 2020. He spent 13 years at Oracle focused on the optimization and parallelization layers in Oracle databases including as lead for the optimization group. Before Oracle, he spent seven years at the IBM European Center of Applied Mathematics working on data mining technologies. He has a PhD in Computer Science with a focus in Database Systems and holds over 40 patents.
- Brian G. Robins - CFO - Brian G. Robins is Independent Director of ID.me, Inc. from January 2025. Mr. Robbins was Chief Financial Officer at GitLab Inc. since October 2020 until September 19, 2025 and served as Interim Chief Accounting Officer since October 2, 2024 until September 19, 2025. He serves as Member of Advisory Board at, TruU, Inc. Mr. Robbins serves as a Special Advisor at Brighton Park Capital Management, L.P. since joining in July 2019. Mr. Robins is the Chief Financial Officer at Snowflake (NYSE: SNOW). At Snowflake, he is responsible for overseeing the company's financial operations, including accounting, tax, treasury, corporate finance, IT, data science and investor relations. He served as Chief Financial Officer at Sisense Inc. since October 2019 until October 2020. He was Chief Financial Officer of AT&T Cybersecurity (formerly known as AlienVault, Inc.). Since June 30, 2015. Mr. Robbins was Chief Financial Officer of Cylance Inc. from August 10, 2017 until 2019.

Board of Directors:

- The board consist of 11 individuals, of the 11, there are 4 dependents. Average Tenure of the board is 6yrs. Shortest tenure of the board is 4mths. William F. Scannell, also known as Bill, serves as Independent Director at Snowflake Inc. since May 07, 2025. He serves as Independent Director of IonQ, Inc. from February 26, 2024. He is President of Global Sales & Customer Operations at Dell Technologies Inc. since February 2020. He serves as President of Global Sales & Customer Operations at Dell Inc. He served as President of Global Enterprise Sales and Customer Operations at Dell Technologies Inc. since September 2017 until January 2020 and served as the President of Commercial and Partner Sales since February 1, 2020. Mr. Scannell serves as President, Global Enterprise Sales and Customer Operations, Dell EMC, until September 2016. In this role, in which he has served since September 2017, Mr. Scannell leads the Dell EMC sales teams to deliver technology solutions to large enterprises and public institutions worldwide. Longest Tenure of the board is Benoit Dageville (13yrs, 1mth). Followed by Jeremy Burton (9yrs, 6mths). Jeremy Burton serves as Chief Executive Officer at Observe Inc. since 2018 and serves as its Director. He serves as a Director of Snowflake Inc. since March 2016. Mr. Burton has served as the Chief Executive Officer of Observe, Inc. since November 2018. Prior to Observe, he served as Executive Vice President of Marketing & Corporate Development of Dell Technologies, a worldwide technology company, from September 2016 to April 2018. Mr. Burton served as the President of Products & Marketing at Syncplicity, Inc. Mr. Burton served as President of Products for EMC Information Infrastructure at EMC Corporation from April 2014 to September 2016. Mr. Burton served as the Executive Vice President and Chief Marketing Officer of EMC Corporation from March 2010 to March 2014 and served as its Executive Vice President of Product Operations and Marketing from July 2012 to March 2014.

Merger and Acquisition:

- On June 6, 2025, Snowflake acquired all of the outstanding capital stock of Crunchy Data Solutions, Inc. ("Crunchy Data"), a privately-held company that provides PostgreSQL technology, for $164.5 million in cash. The acquisition was primarily for Crunchy Data's talent and developed technology, and has been accounted for as a business combination. The preliminary allocation of the purchase price included developed technology intangible assets valued at $46 million (5-year useful life), customer relationships valued at $12 million (1.6-year useful life), and goodwill of $118.3 million. Most of the goodwill is not deductible for tax purposes. Revenue attributable to Crunchy Data from the acquisition date through July 31, 2025, was not material, and the effect on net loss could not be separately determined due to integration into ongoing operations. Acquisition-related costs were not material. The acquired intangible assets have a total weighted-average amortization period of 4.3 years. The acquisition is expected to result in synergies from expanded market opportunities when integrating the acquired technologies with Snowflake's offerings. Pro forma financial information is provided to illustrate the impact as if Crunchy Data had been acquired as of February 1, 2024, but this is for informational purposes only and not indicative of actual results had the acquisition occurred then.
- In the three months ended July 31, 2024, Snowflake acquired certain technology assets and hired key employees from a privately-held company for $10.8 million in cash. The purchase allocation included $2.5 million as a developed technology intangible asset (5-year useful life) and $8.3 million as goodwill, which is deductible for income tax purposes. Pro forma financial information was not provided because the effects were not material to the company's financial statements. Acquisition-related costs were not material.

Litigation:

- Per most recent 10Q or 10K:
  - Stockholder Class Action Lawsuit
    - On February 29, 2024, a stockholder class action lawsuit was filed against Snowflake Inc., its former Chief Executive Officer, and its Chief Financial Officer in the United States District Court for the Northern District of California. The suit alleges violations under Sections 10(b) and 20(a) of the Exchange Act, seeking unspecified damages, attorneys' fees, expert fees, and other costs. Since the initial filing, several amendments and related motions to dismiss have occurred, with the company's reply brief in support of its motion to dismiss due on September 19, 2025. Five additional complaints with securities derivative claims have also been filed and are currently stayed pending resolution of the motion to dismiss the class action lawsuit. The company intends to vigorously defend against these claims and is unable to estimate any reasonably possible loss at this time.
- Data Security & Privacy Litigation
  - On June 13, 2024, a class action was filed in the United States District Court for the District of Montana alleging that Snowflake failed to take reasonable measures to secure systems containing consumer data, resulting in unauthorized access and exfiltration of personally identifiable information. Additional similar class actions were filed in the U.S. and Canada, with claims including negligence, breach of fiduciary duty, breach of implied contract, and unjust enrichment. On October 4, 2024, these U.S. cases were consolidated into multidistrict litigation in Montana. Separate tracks have been created for consumer plaintiffs and financial institutions, with multiple amended complaints and motions to dismiss pending. Oral argument on the motions to dismiss is scheduled for October 6, 2025. Additional related litigation is pending in the Supreme Court of British Columbia. The company is unable to estimate any reasonably possible loss and intends to defend itself vigorously.
- Employment Law Proceeding
  - A former employee filed a charge with the National Labor Relations Board (NLRB) on March 23, 2021, alleging retaliatory termination. An administrative law judge ruled in favor of the former employee in September 2023. Snowflake is appealing the ruling; management estimates a potential range of loss between zero and $25 million, plus interest, but has not recorded a material loss accrual since a material loss is not deemed probable given pending appellate proceedings.
- Per SCAC:
  - Filing Date: 02/29/2024 - ONGOING
    - The Complaint alleges that Defendants throughout the Class Period made false and/or misleading statements and/or failed to disclose that: (i) Snowflake had systematically oversold capacity to customers which created a misleading appearance of the demand for Snowflake's products and services; (ii) Snowflake had provided significant discounts to its customers prior to its initial public offering ("IPO") that temporarily boosted sales but would not be sustainable after the IPO and/or necessitate platform efficiency adjustments that negatively impacted client consumption and Snowflake's revenue and profit margins; (iii) as a result, Snowflake's customers were poised to roll over a material amount of unused credits (and thereby cannibalize future sales) at the end of their contracts' terms or to refuse to renew their contracts at prior consumption levels or at all; and (iv) consequently, Snowflake's product revenue and remaining performance obligations had been artificially inflated leading up to and during the Class Period. On August 29, 2024, the Court issued an Order appointing Lead Plaintiff and Counsel. Lead Plaintiff filed an Amended Complaint on October 28. On April 7, 2025, Lead Plaintiff filed a second Amended Complaint.
- Per Loss Runs:
  - PENDING

Tiago Dos Santos
D&O Public Underwriter
Financial Lines

515 S. Flower St., Suite 950
Los Angeles, CA 90071
Liberty Mutual Insurance
Phone: (646) 826-6734
Cell: (201) 407-3532